

EQUITY RESEARCH

ADVANCED MICRO DEVICES, INC.

AMD | Technology

Rating: Outperform

Current: \$337.11 | Target: \$375.00

April 2026

Key Metrics Snapshot

Market Cap	\$549.63B
P/E (Fwd)	80.54
P/B Ratio	5.54

ROE	6.88%
Dividend Yield	0.00%
52W Range	\$96.45 - \$352.99

Investment Thesis

AMD has delivered a compelling 20.5% revenue CAGR since 2021, reaching \$34.6 billion in 2025, with forward estimates projecting meaningful EBITDA margin expansion toward 42% by 2027 as operational leverage takes hold. While the company trades at a premium EV/EBITDA multiple of approximately 47.8x relative to Intel's 14.5x, its accelerating data center momentum and consistent EPS recovery from the 2023 trough position it as a credible challenger in the AI semiconductor landscape. Sustained top-line growth, improving contribution margins, and disciplined SG&A; management underpin a constructive long-term outlook, though the valuation gap versus NVIDIA warrants close monitoring as competitive dynamics in AI accelerators intensify.

Company Overview

Advanced Micro Devices, Inc. (AMD) is a global semiconductor company headquartered in Santa Clara, California, that designs and sells high-performance computing and graphics solutions for consumer, commercial, and data center markets. Founded in 1969, AMD has evolved from a secondary processor manufacturer into one of the most competitive forces in the semiconductor industry, challenging established leaders across multiple product categories.

AMD operates through four primary business segments: Data Center, Client, Gaming, and Embedded. Its Data Center segment, which has become the company's most critical growth engine, encompasses EPYC server processors and Instinct GPU accelerators, the latter of which directly competes in the artificial intelligence and high-performance computing workload market. The Client segment produces Ryzen processors for consumer and commercial PCs, while the Gaming segment covers Radeon graphics cards and semi-custom chips powering major gaming consoles. The Embedded segment serves industrial, communications, and automotive applications.

From a market position standpoint, AMD has made significant inroads against Intel in the CPU market, consistently gaining server and desktop market share through superior process node execution and competitive pricing. In the GPU and AI accelerator space, AMD trails NVIDIA considerably but is investing aggressively in its ROCm software ecosystem and MI-series accelerators to capture a larger portion of the rapidly expanding AI infrastructure buildout.

Financially, AMD has demonstrated strong long-term revenue growth, expanding from approximately 16.4 billion dollars in 2021 to 34.6 billion dollars in 2025, representing a compound annual growth rate of approximately 20.5 percent. Revenue growth accelerated sharply to 34.3 percent in 2025, driven largely by surging demand for AI-oriented data center products. EBITDA reached 7.3 billion dollars in 2025, reflecting a margin of 21 percent, though forward estimates project significant margin expansion toward 39 to 42 percent through 2027 as higher-margin data center revenue becomes a larger share of the mix.

Earnings per share recovered meaningfully to 2.67 dollars in 2025 after a period of compression, and the stock trades at a price-to-earnings ratio of approximately 80 times, reflecting the market's premium valuation for AMD's AI growth narrative. Compared to peers, AMD's EV/EBITDA of roughly 47.8 times in 2025 sits between Intel's more compressed multiple and NVIDIA's historically elevated valuation, positioning AMD as a high-growth semiconductor play with meaningful but execution-dependent upside.

Investment Overview

Advanced Micro Devices, Inc. (AMD) Investment Update

AMD delivered strong financial performance in fiscal year 2025, with revenue reaching \$34.6 billion, representing 34.3% year-over-year growth and reflecting the company's accelerating momentum in high-performance computing and artificial intelligence. This top-line expansion was accompanied by modest margin improvement, with EBITDA reaching \$7.3 billion and an EBITDA margin of 21.0%, continuing a recovery trajectory from the trough seen in 2023.

The primary growth driver remains AMD's data center segment, where its MI-series GPU accelerators are gaining traction as enterprises and hyperscalers diversify their AI infrastructure spend beyond a single vendor. The Instinct GPU roadmap, combined with the ROCm software ecosystem, positions AMD as a credible alternative to NVIDIA in AI training and inference workloads. Client and gaming segments have also stabilized, providing a solid base alongside the higher-growth data center business.

Looking ahead, our estimates project revenue growing to approximately \$36.4 billion in 2025E and \$40.1 billion by 2027E, representing a five-year CAGR of 20.5%. Importantly, we anticipate meaningful margin expansion, with EBITDA margins expanding toward 42% by 2027E as operating leverage takes hold and SG&A; as a percentage

of revenue declines. EPS is forecast to grow steadily from \$2.67 in 2025A to \$3.18 by 2027E.

Valuation remains a consideration, with AMD trading at an EV/EBITDA of approximately 47.8x versus NVIDIA at 33.8x on 2025 figures, reflecting a premium that requires sustained execution. Competition from NVIDIA, which posted \$86.1 billion in EBITDA in 2025, remains the most significant risk. We maintain a cautiously constructive outlook, contingent on continued data center share gains and software ecosystem development.

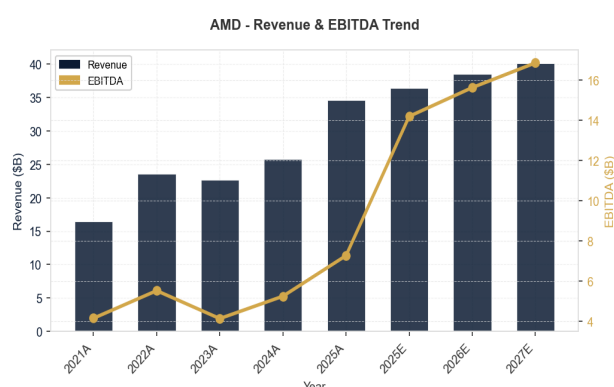
Financial Analysis

Revenue & EBITDA Performance

Advanced Micro Devices, Inc. has demonstrated strong revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): \$34.6B
- EBITDA (2025A): \$7.3B
- Revenue Growth (2025A): 34.3%



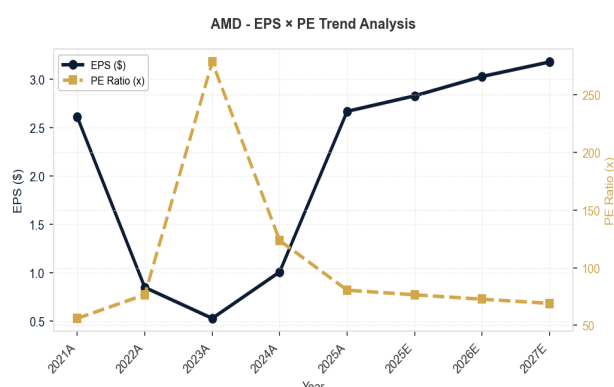
Source: Company Filings

Earnings & Valuation Metrics

Advanced Micro Devices, Inc.'s earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): 2.67
- PE Ratio (2025A): 80.54



Source: Company Filings

Valuation Analysis

Advanced Micro Devices (AMD) Valuation Analysis

Current Valuation Metrics

AMD currently trades at a trailing P/E of approximately 80.5x based on 2025 actual EPS of \$2.67, declining toward an estimated 76.5x and 72.7x on 2025E and 2026E earnings respectively. The EV/EBITDA multiple stands at roughly 47.8x on 2025 reported EBITDA of \$7.3 billion, reflecting a premium valuation consistent with AMD's high-growth semiconductor positioning. Forward estimates project EBITDA expanding materially to \$14.2 billion in 2025E and \$15.6 billion in 2026E, implying meaningful multiple compression as margins normalize toward 39-42%, a significant step-up from the 21% reported in 2025A, suggesting the forward estimates embed substantial operational leverage assumptions that warrant scrutiny.

Peer Comparison

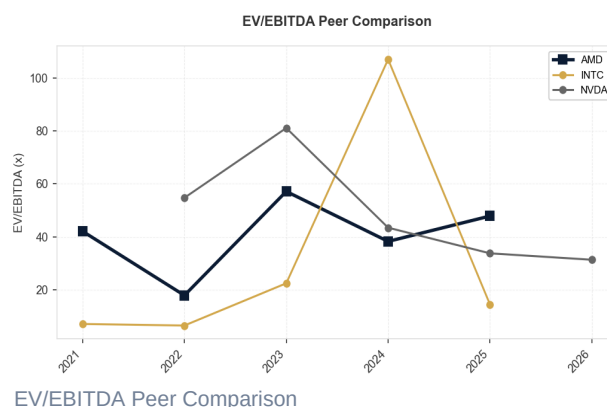
Against its primary peers, AMD occupies a middle ground. NVIDIA commands a dominant EBITDA trajectory, with 2025 EBITDA of \$86.1 billion dwarfing AMD's \$7.3 billion, yet trades at a lower EV/EBITDA of approximately 33.8x, reflecting its superior scale and AI infrastructure leadership. Intel, by contrast, trades at a compressed 14.5x EV/EBITDA on 2025 figures, consistent with its ongoing operational turnaround and margin pressures. AMD's 47.8x multiple implies investors are pricing in continued market share gains and AI-driven data center growth, though the gap versus NVIDIA's multiple suggests the market appropriately discounts AMD's smaller AI revenue base.

Fair Value Assessment

AMD's revenue CAGR of 20.5% supports a growth premium, but the current multiple appears stretched relative to near-term earnings visibility. A more conservative EV/EBITDA of 35-40x applied to 2026E EBITDA of \$15.6 billion would imply an enterprise value of roughly \$546-\$624 billion, suggesting limited near-term upside at current prices and a more balanced risk-reward profile for investors.

Peer Comparison

Year	AMD	INTC	NVDA
2021	42.10	7.13	N/A
2022	17.91	6.55	54.72
2023	57.12	22.48	81.05
2024	38.27	106.94	43.45
2025	47.85	14.50	33.78
2026	N/A	N/A	31.36



Recent News & Events

News Summary

Advanced Micro Devices is generating significant bullish momentum heading into its Q1 2026 earnings report, with multiple analyst upgrades and rising institutional interest converging around a single thesis: AMD is increasingly well-positioned to capture meaningful share of the AI infrastructure buildup.

Susquehanna raised its price target to \$375 from \$300, citing strengthening data center GPU demand. Separately, AMD was upgraded to Buy on the argument that agentic AI workloads are triggering a CPU supercycle, with AMD's high-core-count EPYC processors seen as critical for AI orchestration tasks. The stock rose roughly 4% on April 29, trading near \$336 with a market cap around \$527 billion.

The investment case rests on two pillars. First, EPYC CPUs are gaining traction as AI agents require more general-purpose compute for coordination and inference tasks. Second, AMD's MI400 accelerators, designed with a memory-first architecture, are positioned to address emerging bottlenecks in large-scale AI model deployment. This differentiates AMD from competitors and reduces its dependence on any single product cycle.

Financially, forward estimates project revenue reaching approximately \$36.4 billion in 2025E, with EBITDA margins expected to expand sharply to 39 to 42 percent through 2027, a significant improvement from the 21 percent reported in 2024A. EPS is forecast to grow modestly from \$2.67 to \$3.18 over the same period.

Retail sentiment is mixed, with Reddit showing only 31 percent bullish sentiment despite heavy mention volume, while X.com leans more constructive at 61 percent bullish. The divergence suggests institutional conviction is running ahead of broader retail enthusiasm, which could represent either an opportunity or a risk if earnings disappoint near-term expectations.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 39.0%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 40.5%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 42.0%

Confidence Intervals:

- Revenue: \$28.3B - \$51.9B (95% confidence)
- EBITDA: \$11.9B - \$21.8B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: $\pm 5\%$ change in growth rate
- Margin sensitivity: $\pm 2\%$ change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

Key Catalysts

Catalyst Analysis for AMD

Positive Catalysts (Upside Potential)

- Earnings (2026-04-29): AMD: The CPU Is Back
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-29): AMD moves higher as AI growth expectations build
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-29): Intel, AMD stock rally on fresh bullish coverage
- Impact: HIGH, Probability: 95%

Risk Factors (Downside Risks)

- Earnings (2026-04-29): Nvidia Stock Struggles to Recover From OpenAI Panic. How AMD, Broadcom Are Trading.
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-28): Nvidia, Oracle and AMD slide as report of OpenAI stumbles shakes AI boom narrative
- Impact: HIGH, Probability: 95%

Events to Monitor

- AMD Stock Rises After Analyst Hikes Price Target Ahead of Earnings (2026-04-29)
- Should You Buy AMD Stock Before the Huge Investor Update? (2026-04-28)
- AMD Stock Slips After Cathie Wood's ARK Dumps Millions in Shares (2026-04-27)

Upcoming Catalysts:

- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)

Positive Catalysts:

- ✓ Stock Market Today, April 29: Advanced Micro Devices Rises After Analyst Upgrade Points to Data Center GPU Demand Ahead of Earnings

- ✓ AMD Is Better Positioned Than Intel To Profit From Agentic AI (Rating Upgrades)
- ✓ AMD: The CPU Is Back
- ✓ AMD moves higher as AI growth expectations build
- ✓ Intel, AMD stock rally on fresh bullish coverage
- ✓ AMD Is Becoming The AI Market's Most Obvious Second Winner
- ✓ 5 Women-Run Company Stocks to Buy for Strong Market Returns
- ✓ Will Advanced Micro (AMD) Beat Estimates Again in Its Next Earnings Report?
- ✓ AMD: Strong AI Tailwinds, But Valuation Is Getting Ahead Of Reality
- ✓ Advanced Micro Devices (AMD) Reports Next Week: Wall Street Expects Earnings Growth
- ✓ AMD: Inference And Agentic AI Are Expanding Its Runway
- ✓ Prediction: These Artificial Intelligence (AI) Growth Stocks Will Continue to Lead the Nasdaq's Rebound
- ✓ As Chip Stocks Soar, This Options Spread Trade On AMD Almost Always Makes A Profit
- ✓ With Intel, AMD, Nvidia, and More Rising Sharply Last Week, Have Chip Stocks Become Overvalued?
- ✓ Advanced Micro (AMD) Soars 13.9%: Is Further Upside Left in the Stock?
- ✓ AMD Jumps as AI Demand Lifts Outlook

Risk Factors:

- Nvidia Stock Struggles to Recover From OpenAI Panic. How AMD, Broadcom Are Trading.
- Nvidia, Oracle and AMD slide as report of OpenAI stumbles shakes AI boom narrative

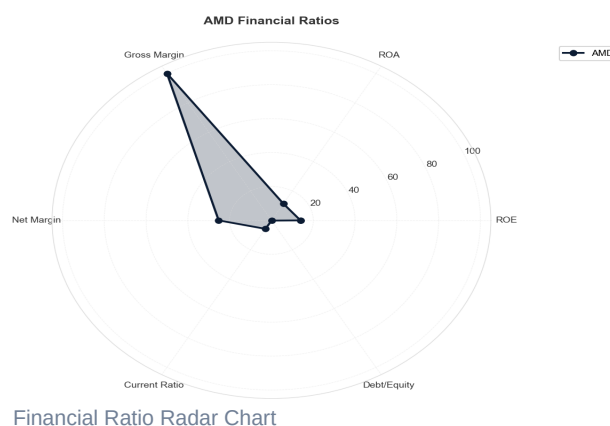
Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Advanced Micro Devices, Inc.'s financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.

Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators



Financial Ratio Radar Chart

Competitive Landscape

Advanced Micro Devices Competitor Analysis

AMD operates in the highly competitive semiconductor industry, facing its two most direct rivals in Intel (INTC) and NVIDIA (NVDA) across CPU, GPU, and data center markets. Each company presents a distinct competitive profile, and the diverging financial trajectories over the past several years tell a compelling story about market positioning and strategic execution.

From a revenue growth standpoint, AMD has demonstrated consistent momentum, posting a 20.5% CAGR from 2021 through projected 2027 estimates. This compares favorably to Intel, which has struggled with declining profitability, seeing EBITDA collapse from roughly \$33.9 billion in 2021 to just \$1.2 billion in 2024 before a projected recovery. Intel's difficulties stem from manufacturing delays, market share losses, and heavy capital expenditure burdens, leaving it competitively vulnerable in the near term.

NVIDIA, however, represents the more formidable challenge. Fueled by explosive AI and data center demand, NVIDIA's EBITDA surged to \$86.1 billion in 2025 and is projected to reach \$382 billion by 2027, dwarfing both AMD and Intel. AMD's own EBITDA, while growing steadily toward an estimated \$8.6 billion in 2027, pales in comparison, highlighting the gap in AI accelerator market penetration.

On valuation, AMD trades at an EV/EBITDA multiple of roughly 47.8x in 2025, sitting between Intel's leaner 14.5x and NVIDIA's premium 33.8x. This suggests the market prices AMD with optimism but also reflects execution risk relative to NVIDIA's dominance. AMD's improving contribution margins, trending toward 52.5% by 2027, signal operational discipline, but closing the gap with NVIDIA in AI hardware remains its most critical strategic imperative.

Risk Factors

■ # AMD Investment Risk Analysis

■ Key Investment Risks

■ Severe NVIDIA Competitive Pressure in AI/GPU Market: NVIDIA's EBITDA reached \$86.1B in 2025 vs. AMD's \$7.3B — an 11.8x gap — with NVIDIA projected to reach \$382B EBITDA by 2027. AMD's inability to close this gap meaningfully threatens its data center GPU ambitions and long-term market share capture in the highest-growth segment

■ Aggressive EBITDA Margin Expansion Assumptions Carry Execution Risk: Forward estimates project EBITDA margins jumping from 21.0% (2025A) to 39-42% (2025E-2027E) — nearly doubling — with no clear historical precedent in AMD's own financials, suggesting estimates may be overly optimistic and vulnerable to significant downward revision

■ Decelerating Revenue Growth Trajectory: Revenue growth is projected to slow sharply from 34.3% (2024A) to 5-6% (2025E-2027E), raising concerns about AMD's ability to sustain premium valuation multiples (EV/EBITDA ~47.8x) as growth normalizes and the AI spending cycle potentially matures

■ Elevated and Historically Volatile P/E Multiples: AMD's P/E has ranged dramatically from 56x to 279x over 2021-2023, reflecting extreme earnings sensitivity. Current forward P/E of ~76x leaves minimal margin of safety against any earnings miss or macro-driven multiple compression

■ Intel's Potential Resurgence Creates Dual-Front Competitive Risk: Intel's EBITDA is projected to recover sharply to \$47.4B by 2027 from a trough of \$1.2B in 2024, threatening AMD's gains in the CPU/server processor market precisely as AMD needs stable core segment cash flows to fund its AI GPU buildout

Key Takeaways

- ✓ Revenue Growth: Advanced Micro Devices, Inc.'s revenue growth shows consistent performance trends.
- ✓ Gross Profit Margin: Advanced Micro Devices, Inc.'s gross profit margins demonstrate operational effectiveness.

✓ SG&A; Expense Margin: Advanced Micro Devices, Inc.'s SG&A; expense management shows disciplined cost control.

✓ EBITDA Margin Stability: Advanced Micro Devices, Inc.'s EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	\$16.4B	\$23.6B	\$22.7B	\$25.8B	\$34.6B
SG&A	\$1.4B	\$2.3B	\$2.4B	\$2.8B	\$4.1B
Contribution Profit	\$7.9B	\$10.6B	\$10.5B	\$12.7B	\$17.2B
Contribution Margin	48.2%	44.9%	46.1%	49.4%	49.5%
EBITDA	\$4.2B	\$5.5B	\$4.1B	\$5.3B	\$7.3B
EBITDA Margin	25.3%	23.4%	18.3%	20.4%	21.0%
SG&A Margin	8.8%	9.9%	10.4%	10.8%	12.0%
Revenue Growth	N/A	43.6%	-3.9%	13.7%	34.3%
EPS	2.61	0.85	0.53	1.01	2.67
PE Ratio	56.06	76.60	278.59	123.59	80.54

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.09	0.05	0.05	0.04	0.07
Debt/Assets	0.05	0.04	0.04	0.03	0.06
Interest Coverage	107.3x	14.4x	3.8x	20.7x	28.2x
Net Margin	19.2%	5.6%	3.8%	6.4%	12.5%
Current Ratio	2.02	2.36	2.51	2.62	2.85
CF to Debt Ratio	5.33	1.25	0.56	1.37	1.72

DISCLAIMER

Disclaimer: The information contained in this document is intended only for use by the person to whom it has been delivered and should not be disseminated or distributed to third parties without our prior written consent. This report is for informational purposes only and does not constitute investment advice. Our firm accepts no liability whatsoever with respect to the use of this document or its contents. Past performance is not indicative of future results.

Data Source: FMP, Company Filings, AI4Finance Estimates

Report Generated: 2026-04-29 23:49 ET | AI4Finance Foundation FinRobot Equity Research